PAYROLL PROCESS

[CONFIDENTIAL]
[UTTHUNGA]
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CHANGE HISTORY

This section describes the details of changes that have resulted in the current document.

SL. No.	Document Version No.	Change Description	Reason For change	Date Prepared By	Date Reviewed By	Date Approved By
1	Issue B Version 0.1	Draft		Pranav 23-Aug-24		
	Issue B Version 1.0	New SOP			Tony AP 23-Aug-24	Sujay JD 23-Aug-24
2	Issue B Version 1.1	Payroll Metrics added-section 12	Payroll metrics were missing	Pranav 16-May-2025	Karthik Basavaraju 16-May-2025	Karthik Basavaraju 16-May-2025
3	Issue C Version 1.0	Review of document	New version update of IMS	Anitha N 01-Aug-25	Santosh V 08-Aug-25	Sanmangala MS 14-Aug-25

1 Purpose

To ensure smooth and error free payroll processing which adheres to Utthunga' s work policies
and standards and help employees address their concerns in a smooth manner.

2 Scope

This document is applicable across employees, consultants, interns and trainees of Utthunga, wherever a payment that happens through the payroll department, be it regular salary payment, trainees and interns' stipend, consultant payments, full and final settlements, miscellaneous payments like joining bonus, referral bonus, panel rewards, badge rewards etc.

3 Abbreviations

a. UTPL: Utthunga Technologies Private Limited

b. UESPL: Utthunga Engineering Solutions Private Limited

c. CTC: Cost to Company

d. LOP: Loss of Pay

e. DOJ: Date of Joining

f. DOE/DOL: Date of Exit / Date of Leaving

g. AR: Attendance Regularization

h. OD: On Duty

i. PF: Provident Fund

j. PT: Professional Tax

k. ESI: Employee State Insurance

l. TDS: Tax Deducted at Source

m. SPOC: Single Point of Contact

n. EOD: End of the Day

o. EL: Earned Leave

p. FnF: Full and Final

4 Terms and Definitions

a. Employees: Those who are hired with standard offer letter and are directly paid by company and will have a standard CTC Structure with Statutory components like PF, ESI, PT and TDS. They will have appointment letter.

b. Consultants: Those who are hired by the company based on a contract and will be paid based on the working hours and invoice raised by them. They are not on company payroll and will have Consultant Letter.

c. Trainees: Those who are hired with an offer letter but will initially be on a training period where stipend will be paid and then converted to employee based on certain terms and conditions as mentioned in the offer letter.

d. Interns: Those who are hired for short term internship with the company by issuing an internship letter and will be paid a Stipend amount.

e. 1st Cycle: Salaries of Regular/Permanent employees are processed.

f. 5th Cycle: Consultant payments and Stipends of Trainees and Interns are processed.

g. 10th Cycle: Full & Final Settlements, Arrears, Badge Rewards, Panel rewards, Joining and Referral Bonus, Spot Incentives, Client Incentives, Variable Pay and Miscellaneous payments are processed.

5 Responsibilities

a. HR/Payroll Department: Will take the inputs and process the payroll and share with Accounts Team for releasing payments.

b. Employee: Should ensure that all the activities like AR & OD Requests, Leave Requests, Investment requests are applied and are approved by manager or HR before 26th of every month.

c. Manager: Should check and approve all the requests he/she has received from the team so that no employe faces any issues due to delay or miss-outs in approval

d. Accounts Team: Should verify the Salary Register and other inputs shared by Payroll Department, allocate funds, and release the payments before due date.

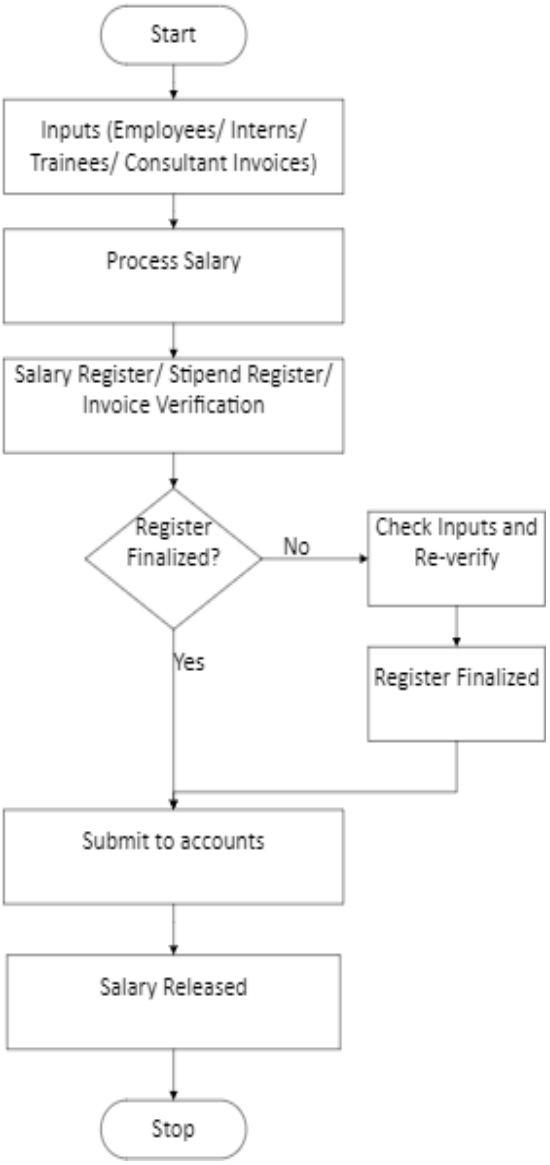
6 RACI

Process	Responsible	Accountable	Consulted	Informed
Cycle 1	HR Team, Payroll Team	HR Manager	Operations Team, Finance Team	Employees, Managers
Cycle 5	Payroll	HR Manager	Recruitment Team, Finance Team	Consultants, Stipend Recipients
Cycle 10	Payroll Team, HR Team	HR Manager	Auditors, Finance Team	Employees, Managers

7 SIPOC

Supplier	Input	Process and Control		Output	Customer
		Process	Control		
HR Team, Operations Team, Recruitment Team	New Joiner Data, Exit Employee Data, LOP/Paid Days Data, Variable Additions/Deductions, Salary Advance Inputs	Cycle 1	HRONE System Validation, Attendance Dashboard, Salary Dashboard	Validated and Processed Payroll, Salary Registers, Bank Challan	Accounts Team, Finance Department
Consultants, Project Trainees, Paid Interns	Consultant Payment Invoices, Stipend Reports, Attendance Data	Cycle 5	Consultant Payment Sheet, Stipend Report	Consolidated Consultant Payment and Stipend Report	Accounts Team
Employees, Recruitment Team, HRONE System	Employee Data for Full and Final Settlements, Revision Arrears, LOP Arrears, Bonus, and Rewards Data	Cycle 10	Employee F&F Sheet, Arrears Sheet, Bonus and Reward Input Sheets	Final Settlement Reports, Bonus and Reward Payment Data, Updated Payroll Records	Employees, Finance Department

8 Overall Process Flow Chart



9 Process Description

9.1. 1st Cycle:

a. 1st Cycle includes salaries of Permanent Employees for Utthunga Technologies Pvt Ltd (mentioned as UTPL from now) and Utthunga Engineering Solutions Pvt Ltd (mentioned as UESPL from now).

b. Payroll and Attendance Cycle for 1st Cycle will be 26th of previous month till 25th of current month. For example, September payroll 1st Cycle will be from 26th Aug to 25th Sep.

c. Payroll input sheet for this cycle includes New Joiners, Exit Employees, LOP/Paid Days, Salary Revision, Variable Additions, Variable Deductions, Salary Advance. New Joiners with Date of Joining till 25th of the payroll month only will be considered in that payroll.

d. Interns, Project Trainees and Consultants converted to Permanent Employees will be considered as New Joiners. Similarly, Permanent Employees converted to consultants will be considered as Exit Employees for this cycle.

e. New Joiner input must be validated between Snapshot Report from HRONE software, and the New Joiner sheet maintained by Operations team. In ideal case, both reports should match. New Joiner input should include Employee ID, Employee Name, Date of Joining, Designation, Department, Grade, Bank Account Number, Bank Name and Bank IFSC Code.

f. Exit Employee input must be validated between Snapshot Report from HRONE software, and the Exit Employee sheet maintained by the Operations team. In ideal case, both reports should match. Exit Employees input should include Employee ID, Employee Name, Designation, Department, Date of Joining, Date of Resignation and Date of Relieving of the employee.

g. Exit input should include Employees who have put down resignation in or before payroll month and relieves in the payroll month, who has put down resignation in the payroll month and relieves in the next month, who has already resigned in payroll month and their Relieving Date is not confirmed by their Managers, who has resigned in payroll month but is serving notice period, who has already resigned and left previous month but were not included in the previous month input due to some genuine reasons.

h. Both New joiner and Exit inputs should be validated with previous month to ensure that nobody is missed out.

i. LOP input should include the Employee ID, Employee Name, LOP days, Paid days, and remarks. Employees who are automatically on full paid days should be taken from previous month and considered based on remarks. Similarly, Employees who are automatically on full days LOP should also be taken from previous month input and considered based on remarks.

j. LOP would be automatically calculated by the HRONE system based on the daily attendance of the employees. But it needs to be taken care that all the pending attendance regularizations, On Duty approvals, leave approvals are approved by the managers.

k. Follow-up mails need to be sent to the Managers if any approvals are pending at their side. As a second option, to avoid LOP reversals, Managers need to be followed up in Teams to approve the applications.

l. There are some employees for whom auto approval is enabled for attendance. Please

check these cases, if they have any Absence and clear the same.

m. For those employees who paid days is by default 31 days or 0 days, do the Attendance override in HRONE.

n. Once this is also done, in HRONE, go to HR Desk -> Actions -> Attendance Dashboard

o. -> Process Attendance

p. Once Attendance is processed, go to HR Desk -> Actions -> Salary Dashboard

q. Here, in step 5, Click on import variable -> Update Record -> Select the Pay group as "PF Payroll" -> Select the right Pay Component -> Select the month and year -> Click on "Select specific Employees" -> Paste the Employee IDs of required Employees -> Click Next -> Download the template and enter the details in Text format -> Upload back the updated document -> Click on Save/Submit

r. Once all the variable inputs are uploaded -> Click on process salary

s. Once processed, go to HR Desk -> Reports -> Payroll Reports -> Salary Register -> Select the month and year -> Give the filters as required -> Select the columns as required -> Click on done.

t. The Salary register for the respective month will be downloaded. Open the report and do the validation for Headcount, Paid Days, Monthly CTC, Actual Gross, Earnings, Deductions and Net Salary.

u. Variance calculation of Monthly CTC, Actual Gross, Earnings, PF, PT, ESI, TDS and Net Salary has to be done in the sheet with respect to previous month by comparing with previous month Salary Register.

v. Exit and Resignation cases based on their Relieving Date should be put on hold. If the Relieving Date is not confirmed by the Manager, in that case also the Salary should be put on hold till confirmation is given.

w. Now in HRONE, go to HR Desk -> Actions -> Salary Dashboard -> Release Salary

x. Please note that Salary should be released only for those employees whose salary is not put on hold. This can be done by pasting the Employee IDs of these employees using the Filter button and Add Bulk Employees button.

y. Once this is done, click on Payments Completed button at the Step 7 of salary dashboard and download the Bank Challan.

z. All these steps from generating Salary register should be done separately for UTPL and UESPL and separate Salary Registers and Bank Challan should be shared with Accounts Team in independent mails before 2 days from Date of Disbursement of Salary.

aa. Any other inputs like resignations that come after the sharing the Registers should be keenly noticed and shared with Finance for holding based on Manager intimation. Any changes in the shared register should be updated with the

Accounts team and revised file should be shared.

bb. Follow up with Accounts team till the disbursement of Salary.

cc. Tax will be calculated from April to Dec based on the declaration done by Employees in HRONE under Request -> New Request -> Propose Invest. This will be considered once accepted by HR Department which should be checked and approved before Payroll every month.

dd. For Jan, Feb and March, Tax will be calculated based on the proofs submitted against each investment by the employee in HRONE under Request -> New Request -> Confirm Invest. Mail communication (with detailed steps) for the same will be send out once December payroll is closed and the window will be open for 10-15 days for employees to submit the same. This will be verified and approved/rejected by Auditors before 25th of Jan after which Payroll processing will start. The window will be opened again in Feb for Employees to submit any more proofs which were not submitted or not approved in Jan. After Jan, system will automatically remove the values declared in 'Proposed Investments' and consider the values in the approve 'Confirmed Investments' for Tax computation

9.2. 5th Cycle:

a. 5th Cycle includes the Consultant payments and Stipends of Project Trainees as well as paid interns.

b. For the Consultants, Prepare the Consultant Payment sheet with Consultant ID, Consultant Name, Date of Joining, Paid Days, Date of Conversion or Confirmation or Contract End, Offered Remuneration, Per Day Salary, Amount to be paid, Reporting Manager, Project Name, Bank Account Number & IFSC Code, Vendor Name (If any, otherwise "Direct"), Status and Remarks.

c. The Consultants payment will be done based on the invoice they submit and approved by their manager. By default, the manager or responsible SPOC should share the invoice with approval mail to Payroll team. If any invoices expected are not received, the same should be followed up with the SPOC or the consultant.

d. The input should be prepared based on the previous month input. The active consultant sheet will be updated by the recruitment team and the same must be compared with the previous month input to remove the inactive consultants and add any new consultants.

e. The invoice shared by the consultants should be verified based on the Invoice Month, Name and the amount of Invoice.

f. The invoice along with the approval mail should be submitted with the Accounts team in mail as well as hard copy for payment.

g. In any case, any active consultant's invoice is not received, or approval mail not received, the details of the consultant should be included in the sheet with status as "Invoice not Received/Invoice not Approved/Approval mail not received". Once it is received the same can be shared with Accounts and update the status in the sheet.

h. For the Project Trainees and Paid Interns, Prepare the Stipend report with Trainee/Intern ID, Name, Reporting Manager name, Employment type, Department, Actual Stipend amount, LOP, Paid Days, Payable Amount, Date of Joining, Date of Conversion – As per Offer Letter, Actual Date of Conversion/Date of Leaving, Bank Account Number & IFSC Code and Remarks.

i. The active trainees/paid interns should be considered based on the previous month input, the New Joiner Onboarding sheet prepared by the Onboarding team as well as the Offered Candidate Details Sheet prepared by the Recruitment Team. The inactive/converted trainees and interns need to be removed, and new ones should be added in the input.

j. Their Stipend amount need to be validated with the Offered Candidate Details sheet for any mismatches. There are chances for revisions in stipend amounts for these candidates which need to be considered based on mails/other inputs received.

k. For trainees and interns, the payroll cycle is from 1st to 30th/31st of any month and they do not have any Leaves. Hence Attendance Calendar needs to be verified for these cases to check for any absences. The authenticity of these absence should be verified with their managers to ensure that there will be no queries in this regard.

l. After checking and clearing with the reporting manager, the Paid days and Payable amount should be calculated based on the same.

m. Once the report is ready, the same need to be shared with Accounts team for payment. The Consultant payment as well as Stipend report need to be consolidated and shared in one excel workbook 2 days before the payment disbursement date with Accounts Team.

n. Follow up with the Accounts team for the disbursement of the same before 5th EOD.

9.3. 10th Cycle:

a. 9.3.1.10th Cycle will include Full and Final Settlements, Revision Arrears, LOP Arrears, Panel Rewards, Badge Rewards, Referral Bonus, Joining Bonus, Client Rewards and any other miscellaneous or pending payments.

b. Full and Final Settlement sheet should have Emp ID, Name, Date of Joining, Designation, Date of Resignation, Date of Leaving, Total Number of Days worked in that month payroll, Total Earned Leaves (EL) , EL credited after Resignation (if applicable), Number of EL to be encashed, Actual Basic Salary, EL Encashment Amount, Last Month Hold Salary, Previous Months Hold Salary (if any), any Arrears or Reimbursements, Any Recovery Amounts, Net Amount to be Paid, Remarks, Bank Account Number and IFSC Code.

c. Number of EL to be encashed is the difference between Total EL and EL credited after Resignation which by policy will not be applicable for encashment. Total EL and EL credited after Resignation should be taken from HRONE portal: HR Desk ->

Search in Leave Balance -> Search Employee by Name or ID -> Click on 3 dots and select Details -> Select Earned Leave -> Check balance and leave credited after his Resignation Date.

d. EL Encashment amount is calculated as: (Actual Basic Salary / 30) * Number of EL to be encashed.

e. Last month Hold salary should be taken from the Salary Register of the last month the Employee has worked. Whether that month salary was put on hold need to be confirmed from the Register and with Accounts team in case of any confusion.

f. Previous month hold salary should be taken from the Salary Register of the months after the employee has submitted resignation. This also need to be double checked with Finance. Remarks need to be given in this case to inform Accounts to check the same before payment.

g. Any Reimbursements or Recovery should be checked in clearance of the Employee in HRONE as well as any input mails and inform the Accounts team to check from their side as well.

h. Net Amount will be calculated as: EL Encashment Amount + Last Month Hold Salary + Previous Month Hold Salary + Arrears/Reimbursements – Recovery Amounts

i. Revision Arrears Sheet should have Employee ID, Name, Date of Joining, Month of Revision, Effective Month, New Gross, Old Gross, Gross Difference, Paid days of that Arrear Month, Arrear Amount. Do this calculation for all the months for which Arrears has to be processed and Sum up this amount to get the total Arrears.

j. To get the Arrear Amount of particular month: (Gross Difference / Total Days in the month) * Paid Days of that month

k. LOP Arrears sheet should include Employee ID, Name, Date of Joining, Department, Actual Gross Salary, Number of LOP Recovery Days, Total Number of Days in the month for which recovery is done, Arrear Amount, Bank Account Number, IFSC Code and Remarks.

l. LOP Arrear amount will be calculated as: (Actual Gross Salary / Total Number of Days in the month) * Number of LOP Recovery Days

m. Reason for the LOP reversal should be given in the Remarks column.

n. Referral Bonus sheet should include Employee ID, Name, Function (Technical/Support), Years of Experience, Date of Joining, Referred Employee Name, Referred Employee's ID, Referred Employee's Grade, Referral Bonus Payment Date (6 months from Date of Joining), Referral Bonus Amount, Bank Account Number and IFSC Code and Remarks

o. Referral Bonus cases should be considered from the Offered Candidate Details sheet updated by the Recruitment team. Those Employees who have joined

before 6 months (180 days) from the last day of Payroll month should only be considered. It needs to be ensured from previous month input that there is a continuation of data, and nobody is missed out or added again for payment.

p. Both the Employee who referred and who has been referred should be active in the system at the time of processing. The referred employee whose grade is G7 and above is not eligible for referral bonus.

q. Joining Bonus input sheet includes Employee ID, Name, Date of Joining, Joining Bonus Payment Date (30 days from Date of Joining), Current Project ID (for Technical) or Department (Non-Technical), Bank Account Number and IFSC Code, Reporting Manager, Payment Status and Remarks.

r. Joining Bonus cases should be taken from the Offered Candidate Details sheet updated by the Recruitment team. Those Employees who have joined before 1 month (30 days) from the last day of Payroll month should only be considered. It needs to be ensured from previous month input that there is a continuation of data, and nobody is missed out or added again for payment. As a double check, this should be validated with the Offer mail shared to the candidate.

s. Badge Reward Input includes Employee Code, Name, Badge Amount, Grade, Badge Type, Bank Account Number and IFSC Code. Badge Rewards are considered quarterly in March, June, September and December 10th Cycles.

t. Badge Reward cases should be downloaded from the HRONE: HR Desk -> Reports -> Search -> Badge Ledger as HR -> Give the filter for quarter -> Select Necessary Columns -> Done

u. Badge Reward money is given only for 4 types of Badges viz MAKING AN IMPACT, OUT OF THE BOX THINKER, GOING ABOVE AND BEYOND & AMAZING MENTOR.

v. For Amazing Mentor Badge, the Giver Grade should be G5 (Manager) and above and the Receiver Grade should be G2 and above. For all the other badges, the Giver Grade should be G5 (Manager) and above, and the Receiver Grade should be below G6. As exception, there are few G4 level Employees who has been delegated by their managers to give Badge Rewards to others

w. While preparing the report, if same employee has two or more badges, the amounts for all these badges should be consolidated and given as a single entry for one employee and the Badge names are mentioned in remarks.

x. Panel reward input sheet includes Employee ID, Name, Grade, Email ID, Department, Bank Account Number and IFSC Code, and Reward Amount.

y. The Panel reward raw data for month is shared by the recruitment team and the same should be validated based on if the Employee is active or inactive. The status should be mentioned in the input while sharing with the Accounts team.

z. Any other Incentives or Extra payments should be included in Extra Payments sheet with Employee ID, Name, Department, Date of Joining, Amount and Remarks.

10 Information Security requirements

a. Data Classification: Identify and classify payroll data as sensitive and confidential. This includes employee personal details, salary information, bank account details, tax information, and any other sensitive financial data.

b. Role based access control: Implementing role-based access controls to ensure that only authorized personnel have access to payroll systems and data. Access should be granted based on the principle of least privilege.

c. Encryption of Data at Rest: Ensure that all payroll data stored in databases, backups, and file systems is encrypted using strong encryption algorithms (e.g., AES-256)

11 References

a. HR Policy 2.9

b. Attendance and Leave guide

c. Salary Advance Policy

d. Reward Policy

12 Metrics

a. Payroll Accuracy

b. Payroll Processing Time

13 Annexures

NA

14 Forms

NA